

MENTAL ACCOUNTING



Episode I

Dilip had just taken an MBA in finance. He was intelligent and had a sixth sense when it came to picking stocks. He worked for a brokerage firm and was respected for his ability to read the markets. After a couple of years he married Sonia. At that point of time he had around Rs. 2 lakhs in his bank account. The year was 1991, when the process of liberalisation had begun and the stock markets were just taking off. Being adventurous, Dilip decided to use his savings to trade in stocks. It was a wise decision considering his track record as a stock picker and his past success with the brokering firm's clients. In the first year his capital increased to Rs. 8 lakhs. In 1993, his capital rose to Rs. 14 lakhs. Two years later, confident in his success, he quit his job to become a full time trader. Sonia did not agree with this decision but he told her this would give him more time to develop his skills by attending various seminars and keeping up with his reading which was so very important. He continued to do well and in 1994, his capital increased to Rs. 30 lakhs. The couple went on a trip to London. Sonia was very happy as they had moved to their own one bedroom apartment. In 1995, his capital soared to over Rs. 60 lakhs and so did his confidence. Being conservative, Sonia preferred to play safe. She insisted that Dilip should put aside some money in different safe assets, which they could fall back on in times of need. She was against Dilip investing all their capital in the stock markets. Dilip did not heed her advice. He thought the higher the investment the greater the profit. Their different approach to money created a rift between them. Arguments followed and the relationship was strained. Dilip's winning streak ended and he began to lose. But he thought that since he had a comfortable balance there was no need to worry. He betted heavily in a market that was going down and by 1997